IN THE NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
DIVISION BENCH
COURT - 1

ITEM No.129

C.A.(CAA)/63(AHM)2022

Proceedings under Section 230-232

IN THE MATTER OF:

Arcturos Healthcare Pvt Ltd **.....Applicant**
Sterling Addlife India Pvt Ltd

.....Respondent

Order delivered on: 21/12/2022

Coram:

Dr. Madan B. Gosavi, Hon'ble Member(J)
Mr.Kaushalendra Kumar Singh, Hon'ble Member(T)

PRESENT:

For the Applicant : Mr. Yuvraj Thakore, Ld. Adv.
For the Respondent :

ORDER

The order was pronounced on 13.12.2022.

The Applicants filed the Speaking to Minutes for rectification in Paragraph 2 (v) & (viii) and Paragraph 3 (viii) of the order dated 13.12.2022 passed by this Tribunal in C.A.(CAA)/63(AHM)2022. The order has been corrected as per Rule 154 of the NCLT Rules, 2016.

Accordingly, the Speaking to Minutes stands allowed and disposed of.

-SD-

KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

-SD-

DR. MADAN B GOSAVI
MEMBER (JUDICIAL)

IN THE NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD BENCH
AHMEDABAD
COURT-1

CA(CAA) No. 63/230-232/NCLT/AHM/2022

[An Application filed under Sections 230-232 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and other applicable provisions of the Companies Act, 2013]

In the matter of:

Arcturos Healthcare Private Limited
(CIN: U85110GJ2022PTC131048)

A Private Limited Company incorporated under the provisions of Companies Act, 2013
Having its Registered Office at: Admin. Office, 2nd Floor, TP-50, FP-55/2 RSNo.22/2/2, Near J.B.R. House, Bodakdev, Ahmedabad-380054.

Transferor Company

Sterling Addlife India Private Limited
(CIN: U85110GJ2000PTC039121)

A Private Limited Company incorporated under the provisions of Companies Act, 1956
Having its Registered Office at: Sterling Hospital Road, Memnagar, Ahmedabad - 380052

Transferee Company

Order Pronounced on: 13th December, 2022

Coram: Dr. Madan B. Gosavi, Member (Judicial)
Kaushalendra Kumar Singh, Member (Technical)

Appearance:

Ms. Dharmishta Raval, Ld. Adv. for the Applicant Companies.

ORDER

1. The Applicant Companies have filed this joint application under sections 230-232 and other applicable provisions of the Companies Act, 2013 (the "Act") read with Companies (Compromise, Arrangement and Amalgamation) Rules, 2016. The Applicant Companies are seeking dispensation of the meeting of the Equity Shareholders, Secured Creditors and Unsecured Creditors of the Transferor Company and seeking dispensation of meeting of Secured Creditors of the Transferee Company and seeking direction for convening the meeting of the Equity Shareholders and Unsecured Creditors of the Transferee Company in respect of the Scheme of Arrangement between M/s. M/s. Arcturos Healthcare Private Limited (Transferor Company) with M/s. Sterling Addlife India Private Limited (Transferee Company) and their respective shareholders and creditors with effect from the appointed date i.e. **1st July, 2022** on the agreed terms and conditions as set out in the Scheme annexed with the application.

2. The averments made by the Applicant are summarized as under:

(i) The registered offices of Applicant Companies are situated and registered under the ROC, Gujarat in the State of Gujarat, hence, fall within the jurisdiction of this this National Company Law Tribunal, Ahmedabad Bench.

(ii) The rationale of the proposed Scheme of Amalgamation are as under:

a. Streamlining the current organization structure;
b. Significant administrative synergies;
c. Consolidation of assets and liabilities of the group companies;
d. Reduction in managerial overlaps due to operation of multiple entities and more focused leadership;
e. Reduction in multiplicity of legal and regulatory compliance, reduction in overheads, including administrative, managerial and other administrative costs; and
f. Rationalization of overall group structure.

(iii) It is reported that the Board of Directors of the Transferor Company and the Transferee Company have approved the Scheme of Amalgamation through their respective Board Resolutions dated **16th September, 2022 and 22nd September, 2022** passed in their respective Board

meetings and copies of the Board Resolution are annexed with the application.

(iv) The Transferor Company has filed its Audited Financial Statement as on 17th May, 2022 and same is annexed with the application and a copy of the Provisional Standalone Financial Statement as on 30th June, 2022 is annexed with the application. The Transferee Company has also filed their Audited Financial Statement as on 31st March, 2022 and a copy of the Provisional Financial Statement as on 30th June, 2022 which are annexed with the application. The Applicant Companies have place on record the valuation report is annexed with the application.

(v) The accounting treatment specified in the Scheme of Amalgamation is in conformity with the Accounting standards as prescribed by the Central Government in terms of Section 133 of Companies Act, 2013. Copies of Statutory Auditors Certificate of all the two Applicant companies are annexed to this application.

(vi) It is further stated that no investigations and/or proceedings under Sections 210 to 217, 219, 220, 223 to 227 of the Companies Act, 2013 as well as Sections 235 to 251 of the Companies Act, 1956 or alike investigations and/or proceedings have been instituted or are pending in relation to the Applicant Companies. It is further stated that

there are no winding up petitions pending against any of the Applicant Companies.

(vii) The Applicant Companies have further submitted that the provisions of Competition Act, 2002 are not applicable in the present case. Hence, no Notice is required to be served to the Competition Commission of India.

(viii) Notice to RBI is not required to be served as the provisions of FEMA are not attracted in the present Scheme of Amalgamation

(ix) The Transferor Company has stated that there are 6 Equity Shareholders in the Transferor Company. The list of Equity Shareholders as certified by the Chartered Accountant is annexed with the Application. The Transferor Company has filed original consent affidavits of all the Equity Shareholders which are annexed with the Application.

(x) The Transferor Company has stated that there are no Secured Creditors in the Transferor Company which fact is certified by the Chartered Accountants certificate a copy whereof is produced with the Application.

(xi) The Transferor Company has stated that there are no Unsecured Creditors in the Transferor Company and a

Chartered Accountant certificate certifying the same has been produced with the Application.

(xii) The Transferee Company has stated that there are 13 Equity Shareholders in the Transferee Company. The list of Equity Shareholders as certified by the Chartered Accountant is produced with the Application.

(xiii) The Transferee Company has stated that there are 2 Secured Creditors in the Transferee Company. The list of Secured Creditors as certified by the Chartered Accountant is produced with the Application. The Transferee Company has filed original consent affidavit of 1 secured creditor value of more than 90% of the total secured debt and a consent letter from the 2nd Secured Creditor value of 6.04% of the total secured debt is annexed with the application.

(xiv) The Transferee Company has stated that there are 12,006 Unsecured Creditors in the Transferee Company. The list of Unsecured Creditors as certified by the Chartered Accountant is produced with the Application.

3. Having heard the Learned Advocate for the Applicant Companies and having perused the application, documents annexed with the Application. This Tribunal passes the following orders:

(i) The meetings of Equity Shareholders of the Transferor Company are hereby dispensed with in view of their consent affidavits.

(ii) The meetings of Secured Creditors of the Transferor Company is hereby dispensed with as there are no Secured Creditors in the Transferor Company.

(iii) The meetings of Unsecured Creditors of the Transferor Company is hereby dispensed with as there is no Unsecured Creditors in the Transferor Company.

(iv) The meetings of the Equity Shareholders of the Transferee Company, as per the list of the equity shareholders, shall be convened on 10th February, 2023 at Sterling Hospital, Sterling Hospital Road, Memnagar, Ahmedabad - 380052, Gujarat for the purpose of considering and, if thought fit, approving with or without modifications to the proposed Scheme.

(v) The meetings of the Secured Creditors of the Transferee Company is dispensed with in view of their consent.

(vi) The meeting of the Unsecured Creditors of the Transferee Company as per the list of the Unsecured Creditors on 30th November, 2022 shall be convened and held on 10th February, 2023 at Sterling Hospital, Sterling

Hospital Road, Memnagar, Ahmedabad - 380052, Gujarat for the purpose of considering and, if thought fit, approving with or without modifications to the proposed scheme.

(vii) At least one month before the date of the aforesaid meetings, an advertisement about convening of the said meeting, indicating the day, date, place and time, as aforesaid, shall be published in **'Financial Express'** Gujarat Edition, English daily, and a Gujarati translation thereof in **'Financial Express'** in Ahmedabad Edition. The publication shall indicate the time within which copies of scheme shall be made available to the concerned persons free of charge from the registered office of the Transferee Company respectively. The publication shall also indicate that the statement required to be furnished pursuant to Section 102 of the Act read with Sections 230 to 232 of the Act can be obtained free of charge at the registered office of the Transferee Company in accordance with second proviso to sub-section (3) of Section 230 and Rule 7 of the Companies (CAA) Rules, 2016.

(viii) In addition, at least one month before the date of the meeting of the Equity Shareholders and Unsecured Creditors of the Transferee Company to be held as aforesaid, a notice convening the said meeting, indicating the day, date, place and time, as aforesaid, together with a copy of the scheme, a copy of statement required to be furnished pursuant to Section 102 of the Act read with Sections 230 to 232 and

Rule 6 of the Companies (CAA) Rules, shall be sent to each of the Equity Shareholders and Unsecured Creditors of the Transferee Company at their respective registered or last known addresses either by Registered post or Speed Post/Airmail or E-Mail or by Courier or by Hand Delivery. The Notices shall be sent to the Equity Shareholders and Unsecured Creditors of the Transferee Company with reference to the list of the persons appearing on the record of the Transferee Company as on 10th December, 2022 and 30th November, 2022 respectively.

(ix) Mr. Dipak Rachchha Advocate and in his absence Mr Prakashkumar Mandowara, practicing Chartered Accountant shall be the Chairman/Chairperson of the aforesaid meetings of the equity shareholders and unsecured creditors of the Transferee Company to be held on 10th February, 2023 and in respect of any adjournment thereof.

(x) Mr. Ashish Doshi and in his absence Mr. Jitendra Liya shall be appointed as the Scrutinizer for the aforesaid meetings of the Transferee Company.

(xi) The Chairman or Chairperson appointed for the aforesaid meetings shall issue the advertisements and send out the notices of the meeting referred to above. The Chairman/Chairperson is free to avail the services of the Applicant Companies or any agency for carrying out the aforesaid directions.

(xii) The Chairman or Chairperson shall have all powers under the Articles of Association of the Applicant Companies and also under the Rules in relation to the conduct of meetings, including for deciding any procedural questions that may arise at the meetings or adjournment(s) to the aforesaid scheme or resolution, if any, proposed at the aforesaid meeting by any person(s) and to ascertain the decision of the sense of the meeting of the Equity Shareholders and Unsecured Creditors of the Transferee Company by polling paper/ballot.

(xiii) The quorum of the meeting of the Equity Shareholders shall be as per the applicable provision of law and the quorum for the meeting of Unsecured Creditor shall be as per the Section 103(1)(a)(iii) of the Companies Act, 2013 in view of the Rule 5 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

(xiv) The Chairman/ Chairperson to file an affidavit of not less than **7 (seven)** days before the date fixed for the holding of the meetings and to report to this Tribunal that the directions regarding issuance of notices and advertisement of the meeting has been duly complied with as per Rule 12 of the Companies (CAA) Rules, 2016.

(xv) It is further ordered that the Chairman or the Chairperson shall report to this Tribunal on the result of the meeting in **Form No. CAA 4,** verified by his affidavit, as per Rule 14 of the Companies (CAA) Rules, 2016 within 20 (Twenty) days from the date of the meeting.

4. In compliance of sub-section (5) of Section 230 and Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, the Applicant Companies shall send a notice in Form No.CAA.3 along with disclosures mentioned under Rule 6, to (i) the Central Government through the Regional Director, North Western Region, (ii) the Registrar of Companies, Gujarat, (iii) the Official Liquidator and (iv) the Income Tax authorities concerned, stating that representations, if any, to be made by them shall be made within a period of 30 days from the date of receipt of such notice, failing which it shall be presumed that they have no objection to make on the proposed Scheme. The said notices shall be sent forthwith by registered post or by speed post or by courier or by hand delivery or by an email at the office of the authority as required by sub-rule (2) of Rule 8 of the Companies (CAA) Rules, 2016.

5. With the above direction **CA (CAA) 63 of 2022** is allowed and fix for filing the Chairman's Report on 01.02.2023.

-SD-
KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

-SD-
DR. MADAN B GOSAVI
MEMBER (JUDICIAL)